

Workers Un-Gagged: Federal Labor Preemption of State Data Trespass Laws

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Abstract

The North Carolina Property Protection Act creates a civil cause of action against “Any person who intentionally gains access to the non-public areas of another’s premises and engages in an act that exceeds the person’s authority to enter those areas ...”. The statute specifically targets employees who engage in unauthorized recording or other data collection on the employer’s premises. At least some of the employee activity subject to civil liability under these statutes is protected under federal labor and employment laws. The Supremacy Clause dictates that this conflict must be resolved in favor of federal law. To ensure that the prospect of costly litigation and damages does not penalize employees for, or deter them from, exercising their rights under federal law, preemption should apply to any NCPPA claims arising from employee conduct that is even arguably protected.

*Progress is born of agitation. It is
agitation or stagnation.*

Eugene V. Debs
The Issue (1908)

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I. Introduction

The North Carolina Property Protection Act (“NCPPA”)¹ represents a new approach to state laws against unauthorized photography, recording, or other data collection on private property.² It differs from previous state ag-gag laws in three significant respects. First, unlike laws limited to agricultural facilities,³ the NCPPA applies more broadly to any private property.⁴ Second, while previous laws typically imposed criminal liability,⁵ the NCPPA creates a civil cause of action for damages.⁶ Third, while previous laws generally apply to anyone engaged in prohibited activity on the protected premises, the data trespass pro-

¹N.C. Gen. Stat. § 99A-2 (2016).

²Other states that have enacted such laws include (in chronological order): Kansas, Montana, North Dakota, Alabama, Iowa, Missouri, Utah, Idaho, Wyoming, and Arkansas. Center for Constitutional Rights, *Ag-Gag Across America: Corporate-Backed Attacks on Activists and Whistleblowers* 10, 13, 15–16, 18–20 (2017). The Arkansas law closely resembles the NCPPA. Ark. Code § 16-118-113 (2017); see *ALDF v. Vaught*, No. 4:19-CV-00442, 4 (E.D. Ark. Feb. 14, 2020) (“Representative Vaught ... explained in introducing the Arkansas Ag-Gag law to the House Judiciary Committee that it ‘is modeled after a newly enacted law in North Carolina in 2016.’”). Earlier such laws applied specifically to agricultural facilities, giving rise to the sobriquet “ag-gag”. See Center for Constitutional Rights, *supra* note 2 at 2–3; Shaakirrah R. Sanders, *Ag-Gag Free Nation*, 54 Wake For. Law Rev. 491, 493–94 (2019). I use the term “data trespass” to encompass laws imposing criminal or civil liability for unauthorized photography, recording, or data collection, whether limited to agricultural facilities or (as in North Carolina, Arkansas, and Wyoming) covering other premises and facilities as well. See Hannah Solomon, *Wyoming’s Data Trespass Laws Trample First Amendment Rights: A Preview*, Vermont Journal of Environmental Law: Ecoperspectives Blog (2016), vjel.vermontlaw.edu/wyomings-data-trespass-laws-trample-first-amendment-rights-preview (last visited Mar 1, 2023) (describing Wyoming statutes as “data trespass laws”).

³See, e.g. N.D. Cent. Code § 12.1-21.1-02 (1991) (prohibiting “damage or destruction” in an “animal facility”);

⁴N.C. Gen. Stat. § 99A-2. The Arkansas statute similarly prohibits unauthorized recording on “commercial property”, which is defined to include any “business property”, “Agricultural or timber production operations”, and “Residential property used for business purposes”. Ark. Code § 16-118-113. Wyoming’s resource data collection statutes also apply to any “private land”, but their prohibitions are limited to unauthorized collection of “resource data” (defined as “data relating to land or land use, including but not limited to data regarding agriculture, minerals, geology, history, cultural artifacts, archaeology, air, water, soil, conservation, habitat, vegetation or animal species”). Wyo. Stat. § 6-3-414 (2015) (imposing criminal liability) and Wyo. Stat. § 40-27-101 (2015) (establishing civil cause of action).

⁵See Center for Constitutional Rights, *supra* note 2 at 6, 10–11, 14, 17–18.

⁶N.C. Gen. Stat. § 99A-2; Ark. Code § 16-118-113. Some other states’ laws also authorize private civil actions by the owner or operator of the facility. See, e.g. Wyo. Stat. § 40-27-101.

visions of the NCPPA exclusively target employee activity.⁷

The focus of this article is on this last issue. At least some of the employee activity subject to civil liability under the NCPPA and other state data trespass laws⁸ is protected under the National Labor Relations Act (“NLRA”)⁹ and other federal laws.¹⁰ The Supremacy Clause dictates that this conflict must be resolved in favor of federal law under the preemption doctrine.¹¹

The NCPPA and other state data trespass statutes have faced legal challenges on constitutional grounds.¹² However, the courts have not addressed the issue of federal preemption.¹³ Existing scholarship on state data trespass laws has likewise focused primarily on First Amendment and other constitutional concerns,¹⁴ with little attention to the

⁷N.C. Gen. Stat. § (b)(1)–(3); see also Ark. Code § (c)(1)–(3). Liability under the NCPPA also extends to “[a]ny person who intentionally directs, assists, compensates, or induces another person to violate this section”. N.C. Gen. Stat. § (c). Other provisions, aimed at “conspiring in organized retail theft” and “act[s] that substantially interfere[] with the ownership or possession of real property”, N.C. Gen. Stat. § (b)(4) & (5), do not single out employees but are not at issue here. Some ag-gag statutes contain specific provisions aimed at so-called “employment fraud” for the purpose of gaining access to an agricultural facility. See, e.g., Ida. Code § 18-7042 (2014) (imposing liability on one who “Obtains employment with an agricultural production facility by force, threat, or misrepresentation with the intent to cause economic or other injury”); Iowa Code § 717A.3A (2012); Ala. Code § 13A-11-150 (2002); see also Center for Constitutional Rights, *supra* note 2 at 2, 10–11.

⁸See Part 2.

⁹29 U.S.C. § 151 et seq.

¹⁰See Part 3.

¹¹See Part 4.

¹²*PETA v. North Carolina Farm Bureau Fed’n*, 60 F.4th 815 (4th Cir. 2023) (North Carolina); *ALDF v. Vaught*, 8 F.4th 714 (8th Cir. 2021) (Arkansas); *ALDF v. Kelly*, 9 F.4th 1219 (10th Cir. 2021) (Kansas); *ALDF v. Reynolds*, 591 F. Supp. 3d 397 (S.D. Iowa 2022) (Iowa); *ALDF v. Wasden*, 878 F.3d 1184 (9th Cir. 2018) (Idaho); *Western Watersheds Project v. Michael*, 353 F. Supp. 3d 1176 (D. Wyo. 2018) (Wyoming); *ALDF v. Herbert*, 263 F. Supp. 3d 1193 (D. Utah 2017) (Utah).

¹³In some cases, labor organizations have filed amicus briefs arguing that the imposition of employee liability under state ag-gag statutes would conflict with and undermine employee protections under the NLRA and other federal employment laws. See, e.g., Brief of Amicus Curiae Idaho Building Trades Council and Idaho AFL-CIO in *ALDF v. Wasden*, (2016); Brief of Amicus Curiae United Farm Workers of America in *ALDF v. Wasden*, (2016); *PETA v. Stein - Farm Workers Amicus*, (2021). In *ALDF v. Wasden*, *supra*, note, 12, the 9th Circuit held that parts of the Idaho ag-gag statute violated the 1st Amendment, without mentioning the federal labor preemption issue. In *ALDF v. Kelly*, *supra*, note, 12, at n.6, the 10th Circuit explicitly declined to consider whether the Kansas ag-gag statute violated the NLRA, because the parties themselves had not presented the issue.

¹⁴See, e.g., Nicole J. Ligon, *In Support of Free Speech on Food Production*, 129 Penn

impairment of workers' rights under federal labor and employment law.¹⁵

This article aims to address this gap. Focusing on the NCPPA because of its explicit targeting of employee activity, it offers guidance to courts in recognizing and avoiding conflicts between employee liability under state data trespass laws and employee protections under the National Labor Relations Act and other federal labor law. To ensure that the prospect of costly litigation and damages does not penalize employees for, or deter them from, exercising their rights under federal law, I argue that preemption should apply to any state data trespass claims against employees who make recordings or otherwise collect information in the workplace pertaining to their terms and conditions of employment.

2. The North Carolina Property Protection Act

The NCPPA¹⁶ provides that,

Any person who intentionally gains access to the nonpublic areas of another's premises and engages in an act that exceeds the person's authority to enter those areas is liable to the owner or operator of the premises for any damages sustained".

State Law Rev. 547 (2024–2025); R. George Wright, *Slightly More than Two Cheers for Sneaky Private Investigations into Questionable Business Operations*, 71 Drake Law Rev. 642 (2024–2025); Claire Regenstreif, *Animal Agricultural Exceptionalism in the 21st Century*, 37 J. Environ. Law Litig. 249 (2022); Christian J. Crocker, *Farm to Tabling Free Speech: The First Amendment & Ag-Gag Law*, 27 Drake J. Agric. Law 431 (2022); Eighth Circuit Upholds Law Criminalizing Access to Agricultural Production Facilities under False Pretenses, 135 Harv. Law Rev. 1166 (2022); Shaakirrah R. Sanders, *Gag with Malice*, 79 Wash. Lee Law Rev. 1715 (2022–2023); Sanders, *supra* note 2; Sarah M. French, *The Unaddressed Force of the First Amendment's Petition Clause Underlying Evolving and Expanding Ag-Gag Legislation*, 18 First Amend. Law Rev. 167 (2019–2020).

¹⁵A few previous articles have addressed the threat that state data trespass laws pose to employee rights. Sanders, *supra* note 14; Sanders, *supra* note 2; Tara Cooley, *Gagged by Big Ag: Whistleblower Silencing Bill Threatens the Employee's Right to Uncover Workplace Wrongdoing*, 49 Gold. Gate Univ. Law Rev. 91 (2019); Cindy A. Schipani, Frances J. Milliken & Terry Morehead Dworkin, *The Impact of Employment Law and Practices on Business and Society: The Significance of Worker Voice*, 19 Univ. Pa. J. Bus. Law 979 (2016–2017). But these focus on the First Amendment or whistleblower laws, without analyzing the issue of preemption under federal labor and employment statutes.

¹⁶N.C. Gen. Stat. § 99A-2.

The statute defines “nonpublic areas” as “those areas not accessible to or not intended to be accessed by the general public.” It also enumerates defines “an act that exceeds a person’s authority to enter the nonpublic areas of another’s premises” as “any of the following”:

- (1) An employee who enters the nonpublic areas of an employer’s premises for a reason other than a bona fide intent of seeking or holding employment or doing business with the employer and thereafter without authorization captures or removes the employer’s data, paper, records, or any other documents and uses the information to breach the person’s duty of loyalty to the employer.
- (2) An employee who intentionally enters the nonpublic areas of an employer’s premises for a reason other than a bona fide intent of seeking or holding employment or doing business with the employer and thereafter without authorization records images or sound occurring within an employer’s premises and uses the recording to breach the person’s duty of loyalty to the employer.
- (3) Knowingly or intentionally placing on the employer’s premises an unattended camera or electronic surveillance device and using that device to record images or data.
- (4) Conspiring in organized retail theft, as defined in Article 16A of Chapter 14 of the General Statutes.
- (5) An act that substantially interferes with the ownership or possession of real property.¹⁷

Subsections (b)(1) and (2) expressly and exclusively target employee conduct. Liability under these subsections is based on the use of information obtained through unauthorized capture or recording “to breach the person’s duty of loyalty to the employer”.

The statute does not define the employee’s “duty of loyalty”. This is a significant omission, as it is questionable whether North Carolina law recognizes any such duty on employees, absent the special circumstances establishing a fiduciary duty.¹⁸

The legislative sponsor of the NCPPA explained that the purpose was to codify the holding in *Food Lion*.¹⁹ That case arose out of a television news exposé in which reporters, working for the show’s producers, obtained jobs at Food Lion stores and used hidden cameras to record such practices as the bleaching and relabelling of past-date foods.²⁰ Food Lion asserted tort claims against the reporters for breach

¹⁷*Id.*, sec. (b).

¹⁸*Dalton v. Camp*, 353 N.C. 647, 653, 708 (N.C. 2001); *Austin Maint. v. Crowder Const.*, 742 S.E.2d 535 (N.C. Ct. App. 2012).

¹⁹See *PETA v. North Carolina Farm Bureau Fed’n*, *supra*, note, 12.

²⁰*Food Lion, Inc. v. Capital Cities/ABC, Inc.*, 194 F.3d 505 (4th Cir. 1999).

of loyalty, and the federal court concluded that North Carolina law would recognize such a claim by an employer against an employee.²¹

However, the North Carolina Supreme Court subsequently opined that the federal court in *Food Lion* had misinterpreted state law.²² NC LAW RECOGNIZES CLAIM WHERE THERE IS A FIDUCIARY RELATIONSHIP.²³ But the Court declined to recognize such a claim in an ordinary employment relationship.²⁴

THE LEGISLATURE CAN ADOPT A STATUTORY CAUSE OF ACTION WHERE NONE EXISTS AT COMMON LAW. BUT THERE IS STILL A PROBLEM. SECTIONS (b)(1) and (2) MAKE BREACH OF THE EMPLOYEE'S DUTY OF LOYALTY AN ELEMENT OF LIABILITY. BUT THIS ASSUMES THAT SUCH A DUTY IS ALREADY ESTABLISHED UNDER NC LAW. THAT'S NOT CLEAR.

In the context of employee suits for wrongful discharge, North Carolina courts have recognized employee disloyalty as valid grounds to fire an employee.²⁵ But under an at-will employment regime, the employer needs no reason at all to fire an employee. The only significance of an employee's disloyalty is as evidence that the termination did not fall within any of the recognized exceptions to the at-will rule. Those cases do not define a general employee duty of loyalty.

MOST NC CASES INVOLVE EMPLOYEES USING THE EMPLOYERS' RESOURCES FOR THE BENEFIT OF A COMPETING BUSINESS OR TO ESTABLISH ONE OF THEIR OWN.

What does "a bona fide intent of seeking or holding employment or doing business with the employer" mean? Does "a reason other than a bona fide intent ..." mean only where the employee lacks any bona fide intent, or does it also include situations where the employee has mixed motives?

Subsection (b)(3) does not explicitly identify the class of persons who may be liable, nor does it refer to an employee's duty of loyalty. But the fact that it prohibits the placement of unattended cameras or recording devices "on the employer's premises" implies that it applies to employees.²⁶

²¹*Id.*

²²*Dalton v. Camp*, *supra*, note, 18.

²³*Id.*

²⁴*Id.*

²⁵*Id.*

²⁶See *PETA v. North Carolina Farm Bureau Fed'n*, *supra*, note, 12, at 828 ("Subsection (b)(3) then punishes the undercover employee for placing an unattended camera on the factory floor while she works."). Subsection (b)(4) targets "[c]onspiring in organized retail theft", which is unprotected under the NLRA. Subsection (b)(5) targets "act[s] that substantially interfere[] with the ownership or possession of real

There have been a handful of suits brought under the North Carolina and Arkansas statutes. Most of these arise from alleged misappropriation of trade secrets or other proprietary information by former employees who went to work for a competitor.²⁷ None involved protected concerted activity by employees under NLRA sec. 7.

3. The NCPPA Subjects Employees to Liability for Conduct that is Protected Under Federal Labor Law

The NCPPA expressly targets employee activity.²⁸ Most notably, this includes unauthorized recording or other data collection on the employer's premises. It may also include union "salting", communicating with co-workers and the public about working conditions, and providing information and evidence about possible legal violations to federal agencies. These activities are (at least in some circumstances) protected under federal labor law.

property". This would likely include "acts of trespass or violence against the employer's property", which are unprotected. See *Glacier Northwest, Inc. v. International Brotherhood of Teamsters Local Union No 174*, 598 U.S. 771, 788–89 (U.S. 2023) (Alito, concurring) (noting that "Garmon preemption does not prevent States from imposing liability of employees" for such conduct.). However, it might also include an employee's "reporting of a conversation had with other employees—to a newspaper, a union, a state agency—if the reporting leads the State to such down the facility," *PETA v. North Carolina Farm Bureau Fed'n*, *supra*, note, 12, at 828, which could be protected if the employee acts "for the purposes of ... mutual aid and protection". 29 U.S.C. § 7; see sec. 3.1, *infra*.

²⁷*Tucker Auto-Mation of North Carolina, LLC v. Rutledge*, No. 1:15-CV-893 (M.D.N.C. July 10, 2017) (dismissing NCPPA claim based on acts occurring prior to statute's effective date); *Timber Automation, LLC v. FiberPro, LLC*, No. 6:20-CV-06076 (W.D. Ark. Oct. 2, 2020) - former employees accessed and downloaded electronic business data from employer's computer system without authorization as part of scheme to engage in competing business; *Arkansas Labeling, Inc. v. Proctor*, No. 4:19-CV-00773 (E.D. Ark. Nov. 27, 2020) - Same(?); *Chey-Tac, Inc. v. Knesek*, No. 17CV-21-174 (Ark. Cir. Ct. Aug. 31, 2022) - Industrial espionage by employees of competitor(?); *Pulaski County Medical Exchange v. Medcom Medical Messaging, Inc.*, No. 4:22-CV-00028 (E.D. Ark. Feb. 15, 2022) - no employment relationship; alleged fraud in connection with a business asset purchase agreement.

²⁸N.C. Gen. Stat. § 99A-2; see also, Ark. Code § 16-118-113. Some Ag-Gag statutes also explicitly apply to employee activity. CITES. Others would implicitly apply to employees engaged in the types of activity generally subject to liability. CITES. At least some of that employee activity will likewise be protected under the NLRA. See n. ?, *infra*.

3.1 Protected Activity Under the NLRA

Section 7 of the NLRA “protect[s] the right of employees²⁹ to act together to better their working conditions”:³⁰

Employees shall have the right to self-organization, to form, join, or assist labor organizations, to bargain collectively through representatives of their own choosing, and to engage in other concerted activities for the purpose of collective bargaining or other mutual

²⁹Certain categories of employees are excluded from coverage under the NLRA, notably agricultural laborers. 29 U.S.C. § 152(3). While this exclusion might appear to alleviate any conflict with state ag-gag laws that apply only to agricultural facilities, that is not necessarily the case. The agricultural laborer exclusion applies only to those engaged directly in farming, *Bud Antle, Inc. v. Barbosa*, 45 F.3d 1261, 1274 (9th Cir. 1994), (quoting *Camsco Produce Co.*, 297 N.L.R.B. 905 (N.L.R.B. 1990)) or who “perform tasks which are incidental to or in conjunction with [the employer’s] farming operations,” *Bud Antle, Inc.*, *supra*, note, 29, such as “processing agricultural products ... grown on the premises of the farm itself.” *NLRB v. Cal-Maine Farms, Inc.*, 998 F.2d 1336 (5th Cir. 1993). However, it does not apply to those who are not employed by a “farmer”, see *Bud Antle, Inc.*, *supra*, note, 29, at 1274 (agricultural laborer exclusion does not apply to employees of vegetable cooling and packing facility where employer did not grow vegetables itself but purchased them from independent growers); *NLRB v. Monterey County B. & C. Trades Council*, 335 F.2d 927 (9th Cir. 1953) (agricultural laborer exclusion does not apply to employees of contractor hired to construct buildings and install equipment on poultry farm). Nor does it apply to those who process, distribute, or otherwise handle agricultural goods not grown or raised by the employer for use in its own farming operations. *Holly Farms Corp. v. NLRB*, 517 U.S. 392 (U.S. 1966) (employees who collect live chickens from independent growers and deliver them to employer’s processing plant not excluded); *Bayside Enterprises, Inc. v. NLRB*, 429 U.S. 298 (U.S. 1977) (truck drivers who deliver poultry feed produced at employer’s mill to independent poultry farms under contract with employer not excluded); *NLRB v. Cal-Maine Farms, Inc.*, *supra*, note, 29 (egg processing facility employees who regularly handle products purchased by employer from outside sources not excluded); *Camsco Produce Co.*, *supra*, note, 29 (mushroom processing facility employees who regularly handle products purchased by employer from outside sources not excluded).

In contrast, state ag-gag laws typically define agricultural facilities more broadly, to include not just farms but also other operations along the production, processing, and distribution chain. See, e.g. *Ida. Code* § (2)(a) & (b) (defining “Agricultural production” and “Agricultural production facility” to include “Construction, expansion, use, maintenance and repair of an agricultural production facility,” “Processing and packaging agricultural products, including the processing and packaging of agricultural products into food and other agricultural commodities,” and “Manufacturing animal feed,” along with activity more directly connected to raising crops and animals.); accord OTHER STATES. Consequently, the NLRA applies to at least some employees of agricultural facilities covered by state ag-gag laws.

³⁰*NLRB v. Washington Aluminum Co.*, 370 U.S. 9 (U.S. 1962).

aid or protection³¹

It is an unfair labor practice under Section 8(a)(1) for an employer “to interfere with, restrain, or coerce employees in the exercise of the rights guaranteed in section 7”.³²

Concerted activity pertaining to “terms, tenure or conditions of employment”³³ is protected under Section 7 regardless of whether employees have organized or are seeking to organize in a labor union, and even absent “a specific demand upon their employer to remedy a condition they find objectionable”.³⁴ Activity aimed at protecting the rights or advancing the interests of multiple employees is “concerted” for purposes of Section 7, even if undertaken by a single employee acting alone.

Nor can we accept the company’s contention that because it admittedly had an established plant rule which forbade employees to leave their work without permission of the foreman, there was justifiable “cause” for discharging these employees, wholly separate and apart from any concerted activities in which they engaged in protest against the poorly heated plant. Section 10(c) of the Act does authorize an employer to discharge employees for “cause” and our cases have long recognized this right on the part of an employer. But this, of course, cannot mean that an employer is at liberty to punish a man by discharging him for engaging in concerted activities which § 7 of the Act protects.³⁵

Under current Board law, an employer’s facially neutral work rule that might apply to some protected Section 7 activity does not necessarily violate Section 8(a)(1).³⁶ However, it is an unfair labor practice for an employer to enforce such a rule against an employee for conduct protected under Section 7.³⁷

McGinley & McGinley-Stempel, 30 Hofstra Lab. & Emp. L. J. 75 (2012)

³¹29 U.S.C. § 157.

³²*Id.* § 151 et seq. 158(a)(1).

³³29 U.S.C. § 151 et seq. (quoting NLRA Section 2(9), 29 U.S.C. sec. 152(a), defining “labor dispute”).

³⁴*NLRB v. Washington Aluminum Co.*, *supra*, note, 30.

³⁵*Id.*

³⁶*The Boeing Company*, 365 N.L.R.B. No. 154 (N.L.R.B. 2017).

³⁷*AT&T Mobility, LLC*, 370 N.L.R.B. No. 121 (N.L.R.B. 2021) (employer’s facially neutral work rule against workplace recording was lawful under NLRA; but employee’s recording of disciplinary meeting, in violation of work rule, was protected under Section 7, and employer committed unfair labor practice by threatening employee with reprisals for future violations of the rule)

- “Making the distinction between concerted, protected activity and speech that is not concerted or protected is sometimes tricky because the analysis is heavily fact-dependent, and different people may interpret the facts differently.” 30 Hofstra Lab. & Emp. L. J. at 90 (2012)
- The Board has exclusive original jurisdiction to make that determination. If the activity in question is even arguably protected under the NLRA, neither a state nor federal court may decide.
- “Section 7 applies to the concerted action of all employees, whether in unionized workplaces, or whether or not they are engaged in a union campaign.” 30 Hofstra Lab. & Emp. L. J. at 88, citing *Bravo v. Dolsen Cos.*, 888 P.2d 147, 150-51 (Wash. 1995)
- “an individual can be engaged in concerted activity if he or she engages in the activity” “with or on the authority of other employees, and not solely by and on behalf of the employee himself.” 30 Hofstra Lab. & Emp. L. J. at 89, quoting *Allstate Maintenance, LLC*, 367 NLRB No. 68 (January 11, 2019)

NLRB v. Washington Aluminum Co., 370 U.S. 9, 14-15 (1962)

- Spontaneous walkout by non-unionized employees over workplace conditions was concerted activity. 370 U.S. at 14-15

Halstead Metal Products v. NLRB, 940 F.2d 66 (4th Cir. 1991)

- NLRA secs. 7 and 8(a)(1) “effectively insulate employees from discharge, refusal to rehire, or other employer retaliation for engaging in concerted activities for mutual aid or protection, ‘even though no union activity be involved, or collective bargaining be contemplated.’” 940 F.2d at 69, quoting *Joanna Cotton Mills Co. v. NLRB*, 176 F.2d 749, 752-53 (4th Cir.1949).

United Merchants & Mfrs., Inc. v. NLRB, 554 F.2d 1276, 1278 (4th Cir.1977)

- “work stoppage and walkout by unrepresented employees for their mutual aid” was protected concerted activity. 554 F.2d at 1278, citing *NLRB v. Washington Aluminum*.

NLRB Office of General Counsel, Memorandum GC 21-03 (March 31, 2021)

While protected, concerted activity can be a precursor to a union campaign, it also can occur outside of the context of union activity, such as in instances where employees raise safety concerns to their employer, or seek protection from government agencies. Nonetheless, constraints and limitations placed on employees engaging in concerted activities, and adverse actions taken against them in response to their protected activity, serve to effectively undermine the declared policy of the United States.

Id. at 1.

Section 7 grants employees the right to engage in “concerted” activities for the purpose of “mutual aid or protection.” The latter element “focuses on the goal of concerted activity,” specifically, “whether there is a link between the activity and matters concerning the workplace or employees’ interests as employees.” The Board analyzes whether an activity is for “mutual aid or protection” using an objective standard; thus, employees’ subjective motives are irrelevant. The “mutual aid or protection” clause covers employee efforts to “improve their lot as employees through channels outside the immediate employee-employer relationship,” as well as activities “in support of employees of employers other than their own.”

Id. at 2, citing *Fresh & Easy Neighborhood Market, Inc.*, 361 NLRB 151, 153 (2014); *Eastex, Inc. v. NLRB*, 437 U.S. 556, 559-60, 565 (1978)

Section 7 protection applies not only to union activity and labor organizing; it may also cover the fundamental precursor actions that form the cornerstone of any other actions the employees may take, like discussing or protesting wages, hours, and working conditions. Additionally, employee advocacy can have the goal of “mutual aid or protection” even when the employees have not explicitly connected their activity to workplace concerns. This includes employees’ political and social justice advocacy when the subject matter has a direct nexus to employees’ “interests as employees.”

Id. at 2

The Ohio Bell Tel. Co., 370 NLRB No. 29 (Oct. 28, 2020)

The rights guaranteed in Section 7 include the right “to form, join, or assist labor organizations, to bargain collectively through representatives of their own choosing, and to engage in other concerted activities for the purpose of collective bargaining or other mutual

aid or protection.” See Section 7 of the Act. Section 8(a)(1) of the Act provides that it is an unfair labor practice for an employer to interfere with, restrain, or coerce employees in the exercise of the rights guaranteed in Section 7 of the Act.

In *Meyers Industries (Meyers I)*, 268 NLRB 493 (1984), and in *Meyers Industries (Meyers II)*, 281 NLRB 882 (1986), the Board held that “concerted activities” protected by Section 7 are those “engaged in with or on the authority of other employees, and not solely by and on behalf of the employee himself.” However, “the activity of a single employee in enlisting the support of his fellow employees for their mutual aid and protection is as much “‘concerted activity’ as is ordinary group activity.” *Whitaker Corp.*, 289 NLRB 933 (1988) (quoting *Owens-Corning Fiberglass Corp. v. NLRB*, 407 F.2d 1357, 1365 (4th Cir. 1969)). Individual action is concerted if it is engaged in with the object of initiating or inducing group action. A conversation can constitute concerted activity when “engaged in with the object of initiating or inducing or preparing for group action or [when] it [has] some relation to group action in the interest of the employees.” *Meyers II*, supra, 281 NLRB at 887 (quoting *Mushroom Transportation Co.*, 330 F.2d 683, 685 (3 Cir. 1964)). The object of inducing group action, however, need not be expressed depending on the nature of the conversation. See *Sabo, Inc. d/b/a Hoodview Vending Co.*, 359 NLRB 355, 358-359 (2012) (vacated but incorporated by law *Hoodview Vending Co.*, 362 NLRB 690 (2015)). Moreover, *Meyers I* and *II* does not require that concerted activity be well-organized or effective, it needs only be engaged in for other employees for mutual benefit. See also *Stephens Media*, 356 NLRB 661, 679 (2011) (finding the wearing of red arm bands to be protected concerted activity even where no evidence was offered showing management was aware of their purpose).

3.1.1 Recording & Other Data Collection

Section 7 protects employees who take photographs, make audio or video recordings, or use other means to collect information about workplace conditions, communications, or activity for the purpose of mutual aid and protection.³⁸ Employees may also use “surreptitious” or otherwise unauthorized recordings as evidence in administrative or

³⁸*White Oak Manor*, 353 N.L.R.B. 795, 798–99, n.2 (N.L.R.B. 2009) (finding that photography was part of the *res gestae* of employee’s protected concerted activity in documenting inconsistent enforcement of employer dress code); *Sullivan, Long & Hagerty*, 303 N.L.R.B. 1007, 1013 (N.L.R.B. 1991) (finding employee’s use of tape recorder in workplace to aid federal government investigation to be protected).

judicial proceedings to vindicate their legal rights.³⁹

Employees are subject to liability under the NCPPA for recording or data collection in the non-public areas of the workplace “without authorization”. It is unclear whether “without authorization” simply means that the employee violates an employer’s rule prohibiting or restricting such activity, or if it means the employee must obtain the employer’s affirmative permission even where there is no general anti-recording rule in place. Either way, there is a conflict with the protection that the NLRA extends to employees who make recordings or otherwise collect information in the workplace in the exercise of their rights under Section 7.

3.1.2 Salting

The NCPPA imposes liability on unauthorized data collection or recording by “An employee who enters the nonpublic areas of an employer’s premises *for a reason other than a bona fide intent of seeking or holding employment* or doing business with the employer.”⁴⁰

This provision could be construed to apply to union “salts”: union members who take jobs at non-union workplaces with the aim of organizing the employees.⁴¹ Salts sometimes identify themselves as union members and organizers when applying for jobs,⁴² but sometimes keep their affiliation and motive covert.⁴³ In the latter circumstance, the

³⁹*Whole Foods Market, Inc.*, 363 N.L.R.B. No. 87 (N.L.R.B. 2015), citing *Times-Herald Record*, 334 N.L.R.B. 350, 354 (N.L.R.B. 2001); *Arrow Flint Electric Co.*, 321 N.L.R.B. 1208, 1219 (N.L.R.B. 1996); *Wellstream Corp.*, 313 N.L.R.B. 698, 711 (N.L.R.B. 1994); *McAllister Bros.*, 278 N.L.R.B. 601 (N.L.R.B. 1986); *Algreco Sportswear Co.*, 271 N.L.R.B. 499, 505 (N.L.R.B. 1984); *East Belden Corp.*, 239 N.L.R.B. 776, 782 (N.L.R.B. 1978).

⁴⁰N.C. Gen. Stat. § (b)(1) & (2) (emphasis supplied); see also Ark. Code § 16-118-113. Some Ag-Gag laws similarly target those who gain entry to the premises under the guise of seeking employment. See, e.g., CITE (imposing liability on one who “Obtains employment with an agricultural production facility by force, threat, or misrepresentation with the intent to cause economic or other injury”).

⁴¹See Carey Dall & Jonathan Cohen, *Salting the Earth: Organizing for the Long Haul*, New Labor Forum 36 (2002); Erik Forman, *Let’s Get to Work*, Jacobin, (2017), jacobinmag.com/2017/02/labor-unions-workers-salts-students-organizing/ (reviewing the history and practice of salting and describing the author’s own experience as a salt); James D. Walsh, *The Double Life of an Undercover Union Organizer*, New York Magazine Intelligencer, (2016), nymag.com/intelligencer/2016/02/what-its-like-to-be-a-salt-for-the-unions.html.

⁴²See, e.g., *Aerotek, Inc. v. N.L.R.B.*, 883 F.3d 725 (8th Cir. 2018); *Fluor Daniel, Inc.*, 311 N.L.R.B. 498 (N.L.R.B. 1993).

⁴³See, e.g., Bourree Lam, *Life as an Undercover Union Organizer*, The Atlantic, (2016), www.theatlantic.com/business/archive/2016/03/undercover-union-

employer may very well regard the concealment as a misrepresentation. Employers wishing to avoid unions no doubt regard salting as harmful to their economic interests.⁴⁴

Employee protections under the NLRA apply to those engaged in salting,⁴⁵ as long as they are “genuinely interested in seeking to establish an employment relationship with the employer.”⁴⁶

MIGHT BE OK IF LIABILITY UNDER NCPPA & OTHER STATE LAWS IS LIMITED TO THOSE WHO OBTAIN EMPLOYMENT FOR THE SOLE PURPOSE OF CAUSING INJURY, OR WITH NO Bona Fide INTEREST IN THE JOB ITSELF. NOTE AMBIGUITY IN LAN-

organizer/474387/ (describing experience as a covert salt).

⁴⁴See David P. Twomey, “Salting”: *A Fair Organizing Strategy or a Negarious Tactic?*, 37 Bus. Law Rev. 103, 106 (2004) (“Employers believe that salting abuse is a ‘nefarious union pressure tactic’ intended to wreak economic hardship on non-union employers by increasing costs to employers through workplace sabotage and the filing of frivolous discrimination charges.”). The view that salting is a devious practice causing economic harm to employers is reflected in a congressional hearing on alleged “salting abuses”. *Examining Union “Salting” Abuses and Organizing Tactics That Harm the U.S. Economy: Hearing before the Subcomm. on Employer-Employee Relations of the H. Comm. on Education and the Workforce*, 108th Cong. (2004). In his opening statement, subcommittee chair Rep. Sam Johnson contended that “Certain unions use ‘salts’ to cause deliberate harm to businesses by increasing their costs and forcing them to spend time, energy, and money to defend themselves against frivolous charges, and sometimes, to run employers out of business.” *Examining Union “Salting” Abuses and Organizing Tactics That Harm the U.S. Economy: Hearing before the Subcomm. on Employer-Employee Relations of the H. Comm. on Education and the Workforce*, *supra* note 44 at 2. A parade of employer witnesses then gave anguished testimony about the alleged harms they suffered as a result of salting campaigns. *Examining Union “Salting” Abuses and Organizing Tactics That Harm the U.S. Economy: Hearing before the Subcomm. on Employer-Employee Relations of the H. Comm. on Education and the Workforce*, *supra* note 44 at x. In similar vein, a “Fact Sheet” in support of proposed legislation to outlaw salting, issued by a prominent anti-union organization, decried the practice as “an organized conspiracy on the part of Big Labor bosses” and “an instrument of economic destruction aimed at non-union companies”. National Right to Work Committee, *Salting: Coercive Big Labor Scheme to Increase Forced Unionism* (2003). See also, Nick Johnson, *No Salt Added*, Jacobin, (2017), jacobinmag.com/2017/03/salts-union-organizing-nlr-obama-trump-labor (discussing legislative efforts to reverse Town & Country and outlaw salting); Twomey, *supra* note 44 at 116, n. 92 (citing proposed anti-salting bills); CURRENT ANTI-SALTING BILL?

⁴⁵*NLRB v. Town & Country Elec.*, 516 U.S. 85 (U.S. 1995) (holding job applicants’ motive in seeking employment as part of union salting campaign did not deprive them of protection as statutory employee under NLRA)

⁴⁶*Toering Electric Co.*, 351 N.L.R.B. 225 (N.L.R.B. 2007); *Oil Capitol Sheet Metal, Inc.*, 349 N.L.R.B. 1348 (N.L.R.B. 2007); see also Johnson, *supra* note 44 (discussing narrowed protection for salts under *Toering Electric Co.*, *supra*, note, 46 and *Oil Capitol Sheet Metal, Inc.*, *supra*, note, 46).

GUAGE OF NCPPA.⁴⁷ But, as written, “employment fraud” provisions in these statutes at least plausibly cover those with mixed motives, who would be regarded as statutory employees under the NLRA. This is particularly true of the NCPPA, which explicitly identifies those subject to liability as “employees” and further predicates their liability on the use of recordings or other information “to breach the person’s duty of loyalty to the employer.”

3.1.3 Communication with Co-Workers & Public

Employees under the NLRA also have a right to communicate with co-workers and the public about working conditions and disputes.⁴⁸

Under the NC (and other?) data Trespass statute(s), an employee faces liability not only for making unauthorized photos or recordings in the workplace, but also for their unauthorized dissemination, e.g. sharing copies with other employees or union representatives, or posting them on social media. But the NLRA protects employee communications, both among coworkers and with the public, about their shared concerns as employees. SOCIAL MEDIA CASES; HANDBILLING & PICKET SIGN CASES.

3.1.4 Providing Information and Evidence to Federal Agencies

The NLRA protects the right of employees to petition for a union representation election, file complaints of unfair labor practices with the NLRB, and testify at NLRB proceedings.

By impairing the ability of employees to document workplace conditions and activity, the NCPPA undermines the NLRB’s procedures for vindicating employee’s rights under the NLRA.⁴⁹

⁴⁷There might still be problems in relation to other federal employment laws. For example, the use of “tester” applicants is a common practice for identifying discriminatory hiring practices. CITES. Courts have upheld the practice even where the testers had no real interest in the job. CITES.

⁴⁸*Kinder-Care Learning Centers, Inc.*, 299 N.L.R.B. 1171 (N.L.R.B. 1990).

⁴⁹The NCPPA and other data trespass laws similarly undermine the enforcement of other federal laws that protect employees against health and safety hazards, discrimination, wage theft, and other harmful and abusive employment practices. Employers are hardly likely to grant employees permission to collect evidence of such violations, and may very well attempt to cover up the problems if alerted that employees are planning to do so. Consequently, to substantiate claims of unlawful working conditions or employer conduct, employees must frequently take photos, make audio-video recordings, or copy documents without the employer’s knowledge and consent. See *PETA v. Stein - Farm Workers Amicus*, *supra* note 13.

Disclosure of information to state officials is exempt from liability under the NCPPA. However, the statute contains no exemption for disclosures to federal agencies or officials.

3.2 *Disloyalty Under the NLRA*

Concerted activity may lose protection under the NLRA if it amounts to disloyalty to the employer. For example, “sharp, public, disparaging attack[s] upon the quality of the company’s product and its business policies, in a manner reasonably calculated to harm the company’s reputation and reduce its income” may be unprotected, even if made in connection with a labor dispute.⁵⁰

COMPARE/CONTRAST DISLOYALTY EXCEPTION UNDER NLRA WITH “DUTY OF LOYALTY” UNDER STATE LAW. AMBIGUITY SURROUNDING EMPLOYEE DUTY OF LOYALTY UNDER NC LAW.⁵¹

4. **Federal Law Preempts the NCPPA as Applied to Employee Conduct Protected Under the National Labor Relations Act**

4.1 *NLRA Preemption*

4.1.1 Scope of Preemption

The preemptive sweep of federal labor law is particularly broad:

When it is clear or may fairly be assumed that the activities which a State purports to regulate are protected by § 7 of the National Labor Relations Act, or constitute an unfair labor practice under § 8, due regard for the federal enactment requires that state jurisdiction must yield. To leave the States free to regulate conduct so plainly within the central aim of federal regulation involves too great a danger of conflict between power asserted by Congress and

⁵⁰*NLRB v. Electrical Workers*, 346 U.S. 464 (U.S. 1953) (affirming NLRB decision that employees’ distribution of handbills attacking quality of employer’s television programming, without reference to labor dispute, was unprotected); *Miklin Enterprises, Inc. v. NLRB*, 861 F.3d 812 (8th Cir. 2016) (holding statements by union supporters in posters and press releases, suggesting employer’s customers faced health risk from eating food prepared by employees working while sick, were unprotected even though related to employees’ effort to gain paid sick leave).

⁵¹*Dalton v. Camp*, *supra*, note, 18; *Austin Maint. v. Crowder Const.*, *supra*, note, 18.

requirements imposed by state law.⁵²

If employee conduct is protected under § 7, then state law which interferes with the exercise of these federally protected rights creates an actual conflict and is preempted by direct operation of the Supremacy Clause.⁵³

BASIS OF PREEMPTION: Protect national labor policy and preserve NLRB's exclusive original jurisdiction over labor disputes.

Cases that have held state authority to be preempted by federal law tend to fall into one of two categories: (1) those that reflect the concern that “one forum would enjoin, as illegal, conduct which the other forum would find legal” and (2) those that reflect the concern “that the (application of state law by) state courts would restrict the exercise of rights guaranteed by the Federal Acts.” “(I)n referring to decisions holding state laws preempted by the NLRA, care must be taken to distinguish pre-emption based on federal protection of the conduct in question ... from that based predominantly on the primary jurisdiction of the National Labor Relations Board ..., although the two are often not easily separable.”⁵⁴

“Local interests” exception under *Garmon*.⁵⁵

If the state law regulates conduct that is actually protected by federal law, however, preemption follows not as a matter of protecting primary jurisdiction, but as a matter of substantive right. Where, as here, the issue is one of an asserted substantive conflict with a federal enactment, then “[t]he relative importance to the State of its own law is not material ... for the Framers of our Constitution provided that the federal law must prevail.”⁵⁶

⁵²*San Diego Building Trades Council v. Garmon*, 359 U.S. 236, 244 (U.S. 1959). Federal law may also preempt state regulation of “conduct neither protected by § 7 nor prohibited by § 8,” where “Congress intended [it] to be ‘unrestricted by Any governmental power to regulate’ because it was among the permissible ‘economic weapons in reserve, ... actual exercise (of which) on occasion by the parties, is part and parcel of the system that the Wagner and Taft-Hartley Acts have recognized.’” *Machinists v. Wisconsin Employment Relations Commission*, 427 U.S. 132, 141 (U.S. 1976) (citation omitted).

⁵³*Brown v. Hotel and Restaurant Employees and Bartenders Intern. Union Local 54*, 468 U.S. 491, 501 (U.S. 1984).

⁵⁴*Machinists v. Wisconsin Employment Relations Commission*, *supra*, note, 52, at 138 (citations omitted).

⁵⁵*San Diego Building Trades Council v. Garmon*, *supra*, note, 52, at 243–44.

⁵⁶*Brown v. Hotel and Restaurant Employees and Bartenders Intern. Union Local 54*, *supra*, note, 53, at 503 (citation omitted).

Why it doesn't apply to NCPPA.

Accordingly, if an employer sues an employee under the NCPPA or other state data trespass law, based on workplace recording or other conduct arguably protected under the NLRA, the claim will be preempted. A state court may not decide whether the conduct is indeed protected, as that question is within the exclusive original jurisdiction of the NLRB. Rather, as long as there is any colorable argument for NLRA protection, the state court should dismiss (or stay its proceedings pending a decision by the NLRB).

Hartman Bros. Heating & Air Conditioning v. NLRB, 280 F.3d 1110 (7th Cir. 2002)

- State statute making knowing & intentional making false or misleading statements in job application was preempted as applied to union salt.

Establishing preemption

Wright Electric v. Ouellette (Minn Ct App 2004)

- Employer's claims, including fraud & unauthorized use of property, against former employee & union were preempted, where they were based on employee's false statements in job application.
- Employee's conduct, as part of union salting effort, was arguably protected under the NLRA.
- Fact that the Board declined to issue a complaint on ULP charge of over firing did not necessarily indicate Board's conclusion that conduct was unprotected. Court cites San Diego Building Trades Council

4.1.2 Effect of Preemption

Preemption deprives state court of jurisdiction

Longshoremen v. Davis, 476 US 380, 398-99 (1986)

- Garmon preemption deprives the state court of jurisdiction, and is thus not waivable.
- Court rejects argument that "the mere lack of a conclusive determination by the Board that an activity is without the purview of the Act renders that activity arguably subject to the Act."
- Instead, "the party asserting pre-emption must make an affirmative showing that the activity is arguably subject to the Act".

No removal based on preemption

Ethridge v. Harbor House Restaurant, 861 F. 2d 1389, 1399 (9th Circuit 1988)

- A preempted suit is not removable, because exclusive original jurisdiction is in the NLRB, not federal district courts.

the *Garmon* analysis is not one to be undertaken by the lower federal courts. “A claim of *Garmon* pre-emption is a claim that the state court has no power to adjudicate the subject matter of the case, and when a claim of *Garmon*-preemption is raised, *it must be considered and resolved by the state court.*” *Id.* at 393, 106 S.Ct. at 1913 (emphasis added). If the state court errs in determining whether *Garmon* principles deprive it of jurisdiction over a dispute, review of that decision may be had in the Supreme Court. *See, e.g., Davis*, 476 U.S. at 388-89, 106 S.Ct. at 1911 (concluding that *Garmon*-preemption always supplies a federal question for the Court to review on appeal); *cf. Franchise Tax Bd.*, 463 U.S. at 12 n. 12, 103 S.Ct. at 2848 n. 12.

4.I.3 Procedure for Asserting Preemption

“A claim of *Garmon* preemption is a claim that the state court has no power to adjudicate the subject matter of the case, and when a claim of *Garmon* preemption is raised, it must be considered and resolved by the state court.”⁵⁷ Federal courts also lack subject matter jurisdiction over claims within the NLRB’s primary jurisdiction.⁵⁸ Accordingly, *Garmon* preemption is not a basis for removal.⁵⁹ But, since *Garmon* preemption is a question of federal law, “if the state court errs in determining whether *Garmon* principles deprive it of jurisdiction over a dispute, review of that decision may be had in the Supreme Court.”⁶⁰

However, the employee may obtain more immediate relief from the NLRB or a federal court. It is an unfair labor practice for an employer to maintain a preempted suit against an employee or union for protected concerted activity. Accordingly, an employee faced with such a suit may file an unfair labor practice charge with the NLRB,

⁵⁷*International Longshoremen’s Ass’n. v. Davis*, 476 U.S. 380, 393 (U.S. 1986).

⁵⁸*Bud Antle, Inc.*, *supra*, note, 29.

⁵⁹*Id.* at 1269, quoting *Ethridge v. Harbor House Restaurant*, 861 F.2d 1389, 1399 (9th Cir. 1988).

⁶⁰*Can-Am Plumbing, Inc. v. NLRB*, 321 F.3d 145, 151 (D.C. Cir. 2003); *Associated Building Contractors, Inc.*, 331 N.L.R.B. 132 (N.L.R.B. 2000); *Manno Elec., Inc.*, 321 N.L.R.B. 297 (N.L.R.B. 1996).

which may then order the employer to seek dismissal or a stay (pending the NLRB's disposition of the unfair labor practice charge) of the state court action.⁶¹ The NLRB may also bring an action in a federal district court seeking an injunction for that purpose.⁶²

Alternatively, the employee may bring an action in federal court seeking declaratory and injunctive relief to block the state court action.^[^17] BUT DO THE ANTI-INJUNCTION ACT OR YOUNGER ABSTENTION APPLY WHERE A PRIVATE PARTY SEEKS TO ENJOIN A PREEMPTED STATE COURT SUIT, RATHER THAN A STATE ADMINISTRATIVE PROCEEDING (AS IN *Bud Antle*)?

Remedies for preempted suit

Injunction

Bill Johnson's, fn 5

- Exception to normal rule that injunction against pending state court suit requires both retaliatory motive & lack of good faith basis.
- If suit is completely preempted, Federal court, upon request by the Board, may enjoin proceeding. See *NLRB v. Nash Finch*, 404 U.S. 138 (1971)

ULP Charge

Manno Elec. (NLRB 1996)

4.2 Preemption Under Other Federal Employment Laws

Admissibility in agency actions and employee suits of recordings made or evidence otherwise collected without the employer's permission. The Wyoming statutes state that data collected in violation of those statutes is inadmissible in any proceeding. ANY OTHER AG-GAG STATUTES HAVE SIMILAR PROVISIONS? Even without such an explicit exclusionary provision, other ag-gag and data trespass statutes would have the practical effect of deterring employees from using unauthorized workplace recordings as evidence of employment law violations and subjecting them to criminal or civil liability for doing so.

⁶¹*Can-Am Plumbing, Inc. v. NLRB*, *supra*, note, 60, at 151, citing *Bill Johnson's Restaurants, Inc. v. NLRB*, 461 U.S. 731, 744 (U.S. 1983); *NLRB v. Nash-Finch Co.*, 404 U.S. 138, 144 (U.S. 1971).

⁶²*Bud Antle, Inc.*, *supra*, note, 29 (holding employer may obtain declaratory and injunctive relief in federal court against pending state administrative agency proceeding).

5. Conclusion

Courts should dismiss suits on pre-emption grounds. The NLRB should seek injunctive relief and hold employers liable for unfair labor practices, consistent with established law. Legislatures should stop writing statutes that are illegal.